NOTE 11: Income Taxes

The components of income before income taxes consisted of the following for the years ended December 31:

	2012	2011	2010
United States operations	**$ 386**	$ 438	$ 344
International operations	**269**	202	200
Total income before taxes	**$ 655**	$ 640	$ 544

The provision for income taxes consists of the following for years ended December 31:

	2012	2011	2010
Current:			
Federal	**$ 108**	$ 136	$ 111
State and local	**13**	8	9
International	**40**	38	38
Total current	**161**	182	158
Deferred:			
Federal	**15**	(6)	(7)
State and local	**3**	(3)	(1)
International	**16**	10	10
Total deferred	**34**	1	2
Provision for income taxes	**$ 195**	$ 183	$ 160

The items accounting for the difference between income taxes computed at the U.S. federal statutory rate and the Company's effective tax rate are as follows for the years ended December 31:

	2012	2011	2010
Statutory tax rate	**35.0 %**	35.0 %	35.0 %
U.S. manufacturing deduction	**(1.2)**	(2.0)	(2.0)
State and local income taxes, net of federal benefit	**1.8**	0.8	0.9
Research and development credits	**—**	(0.6)	(0.6)
Lower international tax rates	**(5.5)**	(3.5)	(4.5)
Tax audits and unrecognized tax positions	**(0.2)**	(0.8)	0.1
Other, net	**(0.1)**	(0.3)	0.5
Total effective tax rate	**29.8 %**	28.6 %	29.4 %

The tax audits and unrecognized tax positions provided a net benefit in 2012 and 2011 as a result of statute of limitation expirations of open examination periods by the taxing authorities. The international taxes benefit is primarily the result of

certain countries in which we operate having lower statutory tax rates than the U.S. statutory tax rate and the benefits associated with certain international restructurings.

Undistributed earnings of the Company's international subsidiaries amounted to approximately $1,165 at December 31, 2012. No U.S. income taxes have been provided on these undistributed earnings as the Company intends to indefinitely reinvest these earnings. If the Company were to distribute these earnings in the form of dividends or otherwise, the Company would be subject to both U.S. income taxes (subject to an adjustment for foreign tax credits) and withholding taxes payable to various foreign countries.

At this time, it is not practicable to determine the amount of income taxes that would be payable on the unremitted foreign earnings of the Company, assuming such earnings were distributed.

Deferred income tax provisions reflect the effect of temporary differences between consolidated financial statement and tax reporting of income and expense items. The net deferred tax assets/liabilities at December 31, 2012 and 2011, respectively, result from the following temporary differences:

	2012	2011
Deferred tax assets:		
Inventories	**$ 27**	$ 43
Net operating loss carryforwards	**14**	20
Post-retirement benefits and other employee benefits	**46**	44
Pension benefits	**20**	26
Other	**19**	21
Total deferred tax assets	**126**	154
Valuation allowances	**(5)**	(4)
Net deferred tax assets	**121**	150
Deferred tax liabilities:		
Property, plant and equipment, and intangibles	**(138)**	(80)
Total deferred tax liabilities	**(138)**	(80)
Net deferred tax assets (liabilities)	**$ (17)**	$ 70

The net operating loss carryforwards relate to domestic and international operations. At December 31, 2012, the carryforwards comprising $13 of these deferred tax assets expire between 2013 and 2032 and the remainder of these assets have no expiration. The Company has provided valuation allowances on these deferred tax assets of approximately $2. Realization of deferred tax assets representing net operating loss carryforwards for which a valuation allowance has not been provided is dependent on generating sufficient taxable income prior to expiration of the loss carryforwards, which the Company believes is more likely than not to occur.

Deferred tax assets and liabilities in the preceding table, netted by taxing jurisdiction, are included in the following captions in the Company's consolidated balance sheets at December 31:

	2012	2011
Deferred tax assets	**$ 32**	$ 55
Other assets	**17**	38
Other accrued expenses	**(2)**	(1)
Deferred tax liabilities	**(64)**	(22)
Net deferred tax assets (liabilities)	**$ (17)**	$ 70

Uncertain Tax Positions. The Company and its subsidiaries file income tax returns for U.S. federal and various state, local and international jurisdictions, as applicable. The Company is no longer subject to, with limited exceptions, U.S. federal, state and local, or non-U.S. income tax examinations by tax authorities for years prior to 2005.

The following table sets forth changes in the total gross unrecognized tax benefits, excluding interest and penalties, for the years ended December 31:

	2012	2011	2010
Balance, beginning of year	**$ 33**	$ 21	$ 25
Tax positions related to current year:			
Additions	**4**	6	4
Reductions	**—**	—	—
Tax positions related to prior years:			
Additions	**1**	18	—
Reductions	**(1)**	(3)	—
Settlements	**—**	—	—
Statutes of limitation expirations	**(4)**	(9)	(8)
Balance, end of year	**$ 33**	$ 33	$ 21

At December 31, 2012, 2011 and 2010, respectively, there are $20, $21 and $17 of net unrecognized tax benefits that if recognized would affect the annual effective tax rate.

The Company believes it is reasonably possible that the unrecognized tax benefits at December 31, 2012 may decrease by approximately $2 due to audit activity and statute of limitation expirations in several jurisdictions within 12 months of December 31, 2012.

The Company accrues interest related to unrecognized tax benefits, net of tax and penalties, as components of its income tax provision. The Company recognized approximately $1 of expense in 2012 and $2 and $1 of benefit in 2011 and 2010, respectively, related to interest and penalties. The Company had accrued approximately $3 and $2 for payment of interest, net of tax and penalties, as of December 31, 2012 and 2011, respectively.